

ECONOMICS 114: TUTORIAL 1

(Presented in the week of 2 March 2026)

NOTE: Students are expected to work out the tutorial questions as thoroughly as possible before the tutorial class.

Coverage: CORE Unit 1

Question 1

Which of the following statements are True?

1. In the late 1700s, there was a temporary increase in average living standards, and this only occurred in Britain.
2. The growth of firms and the expansion of markets during the industrial revolution allowed for rapid division of labour, namely specialisation.
3. GDP per capita measures the total output of a country's economy.
4. According to the principle of diminishing average product of labour, as more farmers work on a fixed quantity of land, the average output per worker will eventually increase.
5. The “hockey-stick” curves representing sustained rapid growth in GDP per capita occurred at different points in time for different countries worldwide.

Question 2

Choose the most **CORRECT** answer. Explain why each other answer is incorrect.

- a) A distinctive aspect of the definition of capitalism as an economic system is that under it all production takes place using privately owned capital goods that are operated by workers who are paid wages.
- b) A capitalist system consists of private property, firms, and markets and concentrates power in the hands of owners and managers.
- c) Capitalism has successfully increased living standards in all countries.
- d) The institutions of capitalism—private property, markets, and firms—combine with each other and with families, governments, and other institutions in the exact same way across countries.

Question 3

In the Malthusian model of an agricultural economy, what is the long-run effect of an improvement in technology?

- a) A permanent and sustained increase in real wages for all farmers.
- b) A decrease in the total population as efficiency improves.
- c) An increase in population that reduces income per person back to the subsistence level.
- d) A reduction in the total amount of land required for farming.

Question 4

Describe how capitalism incentivizes a “permanent technological revolution” and explain the roles that specialization and firm competition play in improving living standards.

Question 5

The table below presents the GDP and population data for South Africa, Rwanda, and Nigeria for the years 2017, 2018 and 2019.

Country	Year	GDP (USD bn)	Population (m)	GDP per capita (USD)	GDP Growth Rate
South Africa	2017	381.45	56.7	6727.92	
	2018	404.16	57.0	7090.53	5.96%
	2019	A)	59.3	6551.62	-3.87%
Rwanda	2017	9.25	12.3	754.47	
	2018	9.64	12.5	771.20	4.22%
	2019	10.36	12.7	815.03	B)
Nigeria	2017	375.75	190.9	1968.31	
	2018	421.74	195.9	C)	12.24%
	2019	448.12	D)	2240.60	6.24%

1. Calculate the missing values in the table (A, B, C and D).
2. Using only the data presented in the table, which country had the larger economy and which country had the higher standard of living in 2018?
3. In 2019, which country had the largest growth rate?